

Civil Code section 3294 sets forth explicit requirements for punitive damage awards against employers (principals) for acts of their employees (agents). Plaintiff must allege and prove one of the following: the employer had advance knowledge of the employee's unfitness and employed him or her with a conscious disregard of the rights or safety of others; or the employer authorized or ratified the employee's oppressive, malicious or fraudulent conduct; or the employer was personally guilty of "oppression, fraud or malice." (Civil Code § 3294(b).)

The FAC alleges NCRC had actual knowledge of Smith's dangerousness and/or Big Will's inadequate training and supervision but still retained Big Will's and authorized Smith's continued presence at the property and ratified the violent conduct after the incident. (FAC ¶¶34.) The FAC alleges NCRC knowingly continued the challenged security arrangement despite Smith's alleged dangerousness and, once NCRC became aware of the attack, failed to investigate, repudiate, or take adverse action in response. (FAC ¶¶ 88-89, 100.) However, the FAC does not include any allegations that any corporate officers, directors or managing agents had advanced knowledge or authorized or ratified Smith's actions. The Opposition essentially concedes as much, saying the FAC references officers, directors, managers, and managing agents in its agency and ratification allegations. (FAC ¶¶11, 13, 29, 75.) The allegations are conclusory and do not allege NCRC's officers, directors, or managing agents had any advance knowledge of the unfitness of Big Will's employees generally, let alone Smith specifically.

Grant the motion with leave to amend.

### **XIII. Ruling**

Grant Defendant's and Plaintiff's requests for judicial notice.

Overrule the demurrer as to the third, fifth, sixth, and seventh causes of action.

Sustain the demurrer to the first and second causes of action as they are duplicative of the third cause of action.

Sustain the demurrer to the fourth cause of action.  
20 days leave to amend is appropriate.

Grant the motion to strike with 20 days leave to amend.

**2.**

| <b>CASE #</b> | <b>CASE NAME</b> | <b>HEARING NAME</b>                    |
|---------------|------------------|----------------------------------------|
| CVRI2403818   | SANCHEZ vs SMITH | MOTION TO STRIKE 1ST AMENDED COMPLAINT |

**Tentative Ruling:**

See above